

Indian Partnership Act, 1932

Question Bank

How this question bank is organized:

Questions are arranged **chapter-wise (Chapter 4.1, 4.2, 4.3)** in a single sequence. For each question, you'll find:

- **Topic** — what concept it tests
- **Source & Year** — where and when it was asked (PYQ / RTP / MTP)
- **Marks** — as specified in the original source

This question bank is updated till **May 2026 PYQ** and **September 2026 RTP**.

How to use this Question Bank:

This Question Bank is designed to help you strengthen your conceptual understanding and improve answer-writing skills through regular practice.

- Questions are arranged topic-wise and unit-wise to help you revise concepts in a systematic manner.
- Attempt the questions after completing each topic or unit to assess your understanding and identify areas that require further revision.
- Write answers on your own before referring to any study material. This will help you develop presentation skills and exam-oriented thinking.
- Use the Question Bank for self-assessment, revision, mock practice, and last-minute exam preparation.
- The questions included are based on Previous Year Questions (PYQs), RTPs, MTPs, and other important examination trends to provide focused practice.
- While no model answers are provided, students may refer to their class notes, Study Material, RTPs, or the simplified notes available on **The Law & Learn Studio** for conceptual understanding and answer structuring.

Remember: Consistent practice is the key to improving both speed and accuracy in examinations.

Chapter 4.1: General Nature of Partnership

Topic: Definition & Essential Elements of Partnership (Section 4)

1. Explain the five essential elements of partnership under the Indian Partnership Act, 1932. (MTP 6 Marks Aug'25 6 Marks)

Note: A shorter variant - 'Define partnership and explain any TWO essential elements in detail' - was tested in MTP 6 Marks May'23/Nov'22/Mar'22/Apr'24, MP[1].

Topic: True Test of Partnership (Section 6)

2. "Sharing in the profits is not conclusive evidence in the creation of partnership." Comment. (MTP 4 Marks Nov'23; PYP 4 Marks Dec'21 Marks: 4 Marks)
3. "Whether a group of persons is or is not a firm, or whether a person is or is not a partner in a firm." Explain the mode of determining existence of partnership as per the Indian Partnership Act, 1932. (MTP 4 Marks May'24, MP[3] Marks: 4 Marks)

Topic: Application Based 'Is It a Partnership?' Case Studies (Sections 4 & 6)

4. State whether the following are partnerships under the Indian Partnership Act, 1932:

(i) A and B buy commodity X and agree to sell the commodity with sharing the profits equally.

(ii) Two firms each having 12 partners combine by an agreement into one firm.

(iii) A and B, co-owners, agree to conduct the business in common for profit.

(iv) Some individuals form an association to which each individual contributes ₹5,000 annually; the objective is to produce clothes and distribute them free to war widows.

(v) A and B, co-owners, share between themselves the rent derived from a piece of land

(vi) X, a contractor, appointed Y, one of his servants, to manage his business of loading and unloading railway wagons; Y was to receive 50% of the profits and also to bear losses, if any.

(vii) A and B buy commodity X and agree to sell the commodity, sharing the profits equally

(viii) 10 major persons form an association to which each member contributes ₹10,000; the purpose is to produce medicines for free distribution to poor patients.

(RTP Sep'24, MP[2] 2 marks each)

Note: A near-identical but shorter question (6 sub-parts, with a car-sharing scenario in place of (vi)/(viii) above, and a ₹500 - not ₹5,000 - annual contribution) was tested in PYP 6 Marks Dec'21 and repeated in RTP Nov'23.

5. (i) A and B jointly own a car which they used personally on Sundays and holidays and let it on hire as taxi on other days and equally divide the earnings. [Remaining five sub-parts are substantively identical to Question 4(ii)-(v) and (vii) above, with the association's annual contribution at ₹500 instead of ₹5,000.] (PYP 6 Marks Dec'21; RTP Nov'23 Marks: 6 (1 mark per sub-part) Marks)

6. State giving reasons whether the following are partnerships as per the provisions under the Indian Partnership Act, 1932:

(i) X, Y, and Z agree to divide the profits equally, but the loss, if any, is to be borne by X alone. Is it a case of partnership?

(ii) X, a publisher, agrees to publish a book at his own expense written by Y and to pay Y half of the net profit. Does this create a relationship of partnership between X and Y? Is X liable to a paper dealer for paper supplied to X to print Y's book?

(iii) A and B purchase a tea shop and incur additional expenses for purchasing utensils etc., each contributing half of the total expense. The shop is leased out on daily rent which is divided between both. Does this arrangement constitute a partnership between A and B?

(PYP 6 Marks Dec'23; MTP 7 Marks Aug'24; RTP May'25, MP[6] Marks: 6 (PYP basis; MTP variant carries 7 marks) Marks)

7. Mr. Ram and Mr. Raheem are working as teachers in Ishwarchand Vidhyasagar Higher Secondary School and are also very good friends. They jointly purchased a flat which was given on rent to Mr. John. It was decided between landlords and tenant that the rent would be ₹10,000 per month inclusive of electricity bill, meaning the electricity bill will be paid by the landlords. The landlords, by mistake, did not pay the electricity bill for the month of March 2021. Due to this, the electricity department cut the connection. Mr. John had to pay the electricity bill of ₹2,800 and ₹200 as a penalty to resume the electricity connection. Mr. John claimed ₹3,000 from Mr. Ram but Mr. Ram replied that he is liable only for ₹1,500. Mr. John said that Mr. Ram and Mr. Raheem are partners, therefore he can claim the full amount from any of the partners. Explain, whether under the provisions of the Indian Partnership Act, 1932, Mr. Ram is liable to pay the whole amount of ₹3,000 to Mr. John. (RTP Jun'24, May'23, Sep'25, MP[4]; MTP 4 Marks Jun'24; RTP Sep'26 Marks: 4 Marks)
8. Mr. Arun and Mr. Varun are brothers employed in a private company in Delhi. Out of their joint savings, they purchased a plot of land in Noida and constructed five commercial shops on it. These shops were later rented out to different tenants. It was mutually agreed that both would equally share the monthly rent received. They also decided to contribute jointly towards property tax and repair expenses. In March 2025, one tenant defaulted in paying rent of ₹50,000. Varun claimed the entire arrears from Arun, stating that both were "partners" in the property business and, hence, Arun, being one of the partners, was liable for the whole amount. Arun, however, refused and argued that they were not partners but only co-owners; therefore, he was not liable to pay Varun's share of the defaulted rent. Decide, with reasons, whether Arun and Varun can be regarded as partners under the Indian Partnership Act, 1932. (Asked In: RTP Jan'26)

Topic: Partnership Distinguished from Other Forms of Organisation

9. What is the difference between partnership and co-ownership as per the Indian Partnership Act, 1932? (MTP 4 Marks Dec'23, Jul'24; PYP 4 Marks Nov'22; RTP May'25, MP[5] Marks: 4 Marks)
10. Enumerate the differences between Partnership and Joint Stock Company. (MTP 6 Marks Jun'22, Oct'21 Marks: 6 Marks)

Topic: Kinds of Partnership & the Partnership Deed

11. What do you mean by 'Partnership for a fixed period' as per the Indian Partnership Act, 1932? (RTP Jan'25, Nov'23; MTP 2 Marks Dec'23; PYP 2 Marks May'22, MP[2] Marks: 2 Marks)
12. Ms. Lucy, while drafting a partnership deed, took care of a few important points. She wants to know the list of information which must be part of a partnership deed drafted by her. Also, give a list of information to be included in the partnership deed. (MTP 4 Marks Nov'22, Nov'21, May'25; SM Marks: 4 Marks)

Topic: Types of Partners

13. Mohan, Sohan and Rohan are partners in the firm M/s Mosoro & Company. They admitted Bohan as a nominal partner and, on agreement between all the partners, Bohan is not entitled to share profit in the firm. After some time, a creditor, Karan, filed a suit against Bohan for recovery of his debt. Bohan denied the same, stating he is just a nominal partner and is not liable for the debts of the firm, and that Karan should claim his dues from the other partners. Taking into account the provisions of the Indian Partnership Act, 1932: (a) Whether Bohan is liable for the dues of Karan against the firm. (b) In case Karan has filed the suit against the firm, whether Bohan would be liable? (RTP Nov'22)
14. Describe the following kinds of partnership with reference to the Indian Partnership Act, 1932: (a) Partnership at will (b) Partnership for a fixed period (c) Particular partnership (d) General partnership. (RTP May'26)

Chapter 4.2: Relations of Partners

Topic: Conduct of Business, Mutual Rights & Firm Property

1. What are the rights of partners with respect to conduct of the business of a firm as prescribed under the Indian Partnership Act, 1932? (PYP 4 Marks Jun'23 Marks: 4 Marks)
2. In accordance with provisions of the Indian Partnership Act, 1932, explain the following: The rights of a partner to be indemnified by the firm and the liability of a partner to indemnify the firm. (PYP 6 Marks May'25 Marks: 6 Marks)
3. Moni and Tony were partners in the firm M/s MOTO & Company. They admitted Sony as a partner in the firm, and he is actively engaged in day-to-day activities of the firm. There is a tradition in the firm that all active partners will get a monthly

remuneration of ₹20,000, but no express agreement was there. After admission of Sony in the firm, Moni and Tony continued getting salary from the firm but no salary was given to Sony from the firm. Sony claimed his remuneration but it was denied by the existing partners, saying that there was no express agreement for that. Whether under the Indian Partnership Act, 1932, Sony can claim remuneration from the firm? (RTP Jun'24, May'22)

4. A and B are partners in M/s Aee Bee & Company. The firm is doing business of trading of plastic bottles. A is authorised to sell the stock of plastic bottles. It was decided between them that A should sell the plastic bottles at the minimum price which they have decided, and if A sells at a price less than the minimum price, he should first take the permission of B. Due to sudden change in government policy, the price of plastic bottles was continuously declining. To save the loss of the firm, A sold the stock at a lower price. Meanwhile, A tried to contact B but couldn't do so as B was on a foreign trip. Afterwards, when B came, he filed a suit to recover the difference of sale price and minimum price to the firm. Whether B can do so under the provisions of Indian Partnership Act, 1932? (MTP 6 Marks Nov'23, Apr'24; RTP Sep'25, MP[1] Marks: 6 Marks)
5. Amit and Ajay started the business of wholesale trading of sugar. For this purpose, they contributed ₹3,00,000 and ₹1,00,000 respectively. The partnership deed was perfectly prepared but the clause regarding share of profit was not mentioned in the deed. Due to heavy rain, stock of sugar was spoiled, and the firm incurred a loss of ₹60,000. Amit asked Ajay to contribute equally to the loss, but Ajay agreed to contribute only 25% to the loss, i.e. in the ratio of capital contribution. Referring to the provisions of the Indian Partnership Act, 1932, how much is to be contributed by Ajay to the firm's loss? (RTP May'25)
6. What do you mean by Goodwill as per the provisions of Indian Partnership Act, 1932? (RTP Nov'23, Jan'25, MP[1]; MTP 3 Marks Apr'24 Marks: 3 Marks)
7. Rahul and Kapil are partners in the firm M/s Saxena Marble House. Rahul purchased 100 shares of a reputed company in his name, but he made the payment from the firm's account. Rahul did not consent to Kapil before acquiring the shares. Referring to the provisions of the Indian Partnership Act, 1932: a. Whether the shares purchased by Rahul constitute the property of the firm? b. What would be your answer if Rahul debits himself in the account books of the firm and became a debtor to the firm? (MTP 7 Marks Apr'25)
8. A, B & C are partners of a partnership firm carrying on the business of construction of apartments. B, who himself was a wholesale dealer of iron bars, was entrusted with the work of selection of iron bars after examining its quality. As a wholesaler, B is well aware of the market conditions. Current market price of iron bar for construction is ₹350 per kilogram. B already had 1,000 kg of iron bars in stock which he had purchased before the price hike in the market for ₹200 per kg. He supplied iron bars to the firm without the firm realising the purchase cost. Is B liable to pay the firm the extra money he made, or doesn't he have to inform the firm as it is his own business and he has not taken any amount more than the current prevailing market price of ₹350?

[OR: Discuss the provisions regarding personal profits *earned by a partner under the Indian Partnership Act, 1932.*] (RTP Jun'24, Nov'21; MTP 2 Marks May'24, Jul'24, MP[3], MP[5] Marks: 2 (MTP basis) Marks)

Topic: Partner as Agent & Implied Authority (Sections 18–22)

9. "Partner indeed virtually embraces the character of both a principal and an agent." Describe the said statement keeping in view the provisions of the Indian Partnership Act, 1932. (MTP 7 Marks Jun'24, MP[4] Marks: 7 Marks)

Note: An identically-worded question - 'The partner indeed virtually embraces the character of both a principal and an agent... Explain with reference to provisions of the Indian Partnership Act, 1932' - was also tested in PYP 7 Marks May'25.

10. P, Q and R are partners in a construction firm, PQR Associates. P buys cement on behalf of the firm from D. The cement is used in the ordinary course of the firm's business. P uses the cement for his personal purposes. The supplier D, who is unaware of the private use of cement by P, claims the price from the firm. The firm refuses to pay for the price, on the ground that the cement was never received by it. Referring to the provisions of the Indian Partnership Act, 1932, answer the following: (i) Whether the Firm's contention is tenable? (ii) What would be your answer if a part of the cement so purchased by P was delivered to the firm by him, and the rest of the cement was used by him for his private use, about which neither the firm nor the supplier were aware? (PYP 7 Marks Jan'25; MTP 7 Marks May'25, Aug'25 Marks: 7 Marks)
11. Discuss the rule regarding a partner's implied authority to bind the firm for his acts. Also, explain the situations when the partner has no implied authority to bind the firm. (PYP 6 Marks Dec'23 Marks: 6 Marks)
12. X, Y and Z are partners in a firm named M/s XYZ & Co. Timber is used in the business of the firm in the ordinary course of business. Y, with intention to deceive W, a timber dealer, purchased timber on behalf of M/s XYZ & Co. Y uses the timber for construction of his own building. W has no idea that Y purchased the timber for his own use and claims the payment from M/s XYZ & Co. M/s XYZ & Co. refuses the payment as the timber was never received by it. State: (i) Whether the firm is liable to pay the price of timber? (ii) Whether the answer would be different in case part of the timber so purchased was delivered to the firm and the rest was used by Y for his personal use, which was not in the knowledge of the firm and W? (MTP 7 Marks Aug'25 Marks: 7 Marks)
13. Shyam, Mohan and Keshav were partners in M/s Nandlal Gokulwale and Company. They mutually decided that Shyam will take the responsibility to sell the goods for the firm, Mohan will do the purchase of goods for the firm, and Keshav will look after the accounts and banking department. No one will interfere in the other's department. Once, when Shyam and Keshav were out of town, Mohan got the information that the price of their goods was going down sharply due to some government policy, which would result in heavy loss to the firm if the goods were not sold immediately. He tried to contact Shyam, who has the authority to sell the goods. When Mohan couldn't

contact Shyam, he sold all goods at a reduced price to save the firm from heavy loss. Thereafter, Shyam and Keshav denied accepting the loss due to sale of goods at the reduced price as it's only Shyam who has express authority to sell the goods. Discuss the consequences under the provisions of the Indian Partnership Act, 1932. (RTP May'23)

Topic: Liability of Firm for Misapplication by Partners (Sections 25–27)

14. Explain in detail the circumstances which lead to liability of firm for misapplication by partners as per the provisions of the Indian Partnership Act, 1932. (RTP May'21, Sep'25, MP[4]; MTP 3 Marks Jun'24 Marks: 3 Marks)
15. A and B operate a textile merchant business in partnership. Mr. A finances the business and is a sleeping partner. In the regular course of business, B acquires certain fabric goods belonging to C. However, B is aware that these goods are stolen property. Despite this knowledge, B proceeds to purchase and sell some of these stolen goods. Moreover, B records proceeds from these sales in the firm's books. Now, A wants to avoid the liability towards C, on the grounds of misconduct by B. In the light of the provisions of the Indian Partnership Act, 1932, discuss the liability of A and B towards C. (PYP 3 Marks Jun'24; MTP 3 Marks Jan'25, RTP Sep'25, MP[8], MP[9] Marks: 3 Marks)

Topic: Transfer of a Partner's Interest (Section 29)

16. State the modes by which a partner may transfer his interest in the firm in favour of another person under the Indian Partnership Act, 1932. What are the rights of such a transferee? OR: Explain the rights of a transferee of a partner's interest under the Indian Partnership Act, 1932. How do these rights differ from those of an original partner?] (RTP Jun'24, May'23, Jan'26; SM; MTP 6 Marks Jan'25, MP[8] Marks: 6 Marks)

Note: A near-identical question (testing only the 'during continuance' restrictions, without the dissolution-stage rights) appeared as MTP 4 Marks Nov'22 / SM / RTP May'21, using the fact pattern 'Mr. A (transferor) transfers his share... to Mr. B (transferee)'. Use the first half of this answer (the three continuance-stage restrictions) for that shorter variant, allocating Provision 2.5 / Application 1 / Conclusion 0.5 marks.

17. Mr. Naresh is one of the four partners in M/s XY Enterprises. He owes a sum of ₹6 crore to his friend Mr. Akash, which he is unable to pay on due time. So, he wants to sell his share in the firm to Mr. Akash for settling the amount. In the light of the provisions of the Indian Partnership Act, 1932, discuss each of the following: (i) Can Mr. Naresh validly transfer his interest in the firm by way of sale? (ii) What would be the rights of the transferee (Mr. Akash) in case Mr. Naresh wants to retire from the firm after a period of 6 months from the date of transfer? (MTP 6 Marks May'23, Nov'22, Mar'22; PYP 6 Marks Jul'21 Marks: 6 Marks)

18. M/s ABC Associates has been a partnership firm since 1990. Mr. A, Mr. B and Mr. C were partners in the firm since the beginning. Mr. A, being a very senior partner aged 78 years, transfers his share in the firm to his son Mr. Vikas, a Chartered Accountant. Mr. B and Mr. C were not interested in Mr. Vikas joining them as a partner in M/s ABC Associates. After some time, Mr. Vikas felt that the books of accounts were displaying only a small amount as profit despite a huge turnover. He wanted to inspect the books of accounts of the firm, arguing that it is his entitlement as a transferee. However, the other partners believed that he cannot challenge the books of accounts. Can Mr. Vikas be introduced as a partner if his father wants to retire? As an advisor, help them resolve the issues applying the necessary provisions from the Indian Partnership Act, 1932. (RTP Nov'23; PYP 6 Marks May'22 Marks: 6 Marks)

Topic: Minor Admitted to the Benefits of Partnership (Section 30)

19. A minor may be admitted to the benefits of a partnership firm? Explain the rights of a minor in the partnership firm. State the legal position of a minor partner under the Indian Partnership Act, 1932 after attaining majority: (A) When he opts to become a partner of the same firm. (B) When he decides not to become a partner. (MTP 6 Marks Apr'21, Aug'24, MP[6]; RTP Nov'21; SM; PYP 7 Marks May'26 Marks: 6 Marks)

Note: This composite question consolidates two closely related, separately-tested questions: MTP 3 Marks Jul'24, MP[5] (asking only for the post-majority legal position, parts A & B) and MTP 4 Marks Dec'23 / PYP 4 Marks May'22, MP[2] (asking only 'Can a minor become a partner? Justify and explain his rights'). Either sub-question can be answered by extracting the relevant portion above. **The identical full question (rights of a minor partner + post-majority position under both elect/non-elect scenarios) was also asked as PYP May'26, carrying 7 Marks instead of 6 - use this same answer for that instance.**

20. X was introduced to the benefits of partnership of M/s ABC & Co. with the consent of all partners. On attaining majority, more than six months elapsed and he failed to give a public notice as to whether he elected to become or not become a partner in the firm. Later on, Mr. L, a supplier of material to M/s ABC & Co., filed a suit against M/s ABC & Co. for recovery of the debt due. In the light of the Indian Partnership Act, 1932, explain: (i) To what extent X will be liable if he failed to give public notice after attaining majority? (ii) Can Mr. L recover his debt from X? (RTP Nov'23; SM)
21. M/s M&M Associates was registered in 1985 by its three partners namely Mr. X, Mr. Y and Mr. Z as the partnership at will. On 5th January 2022, Mr. X, being a very senior partner of age 75 years, decided to retire and transfer his shares in the firm to his grandson Mr. S, who was 17 years old at the time of the transfer. Mr. Y and Mr. Z were not interested but when they came to know that Mr. S is a minor, they agreed to admit Mr. S as partner. On 5th October 2023, at the time of inspection of books and accounts, Mr. S noticed that the books of accounts were displaying only a small

amount as profit despite a huge turnover. When he asked other partners about this fact, then Mr. Y told him that one of the major clients, Mr. T, refused to pay huge amount of fees. Mr. S decided to sue Mr. T for recovery of fees and sent a notice for the same. Mr. T argued that Mr. S cannot sue him because he has not given notice of remaining a partner on attaining majority. With reference to provisions of the Indian Partnership Act, 1932 decide: (i) Whether Mr. X can retire and introduce Mr. S (minor) as a partner? (ii) Whether Mr. S has right to inspect books of accounts? (iii) Whether Mr. S has authority to sue Mr. T, on non-payment of fees? (PYP 7 Marks Sep'25 Marks: 7 Marks)

Topic: Introduction of a New Partner / Liability for Existing Debts (Section 31)

22. M/s ABC & Co. is a renowned partnership firm doing business in textile industry from last twenty years. But due to technical up-gradation, firm incurred heavy debts of ₹50 lakhs. To maintain the integrity of the firm, they introduced Mr. D, as a new partner. Before admission of D, other partners A, B, and C decided on their own and made an agreement with the creditors that the new partner will be liable for existing debt through novation. When D joins, he came to know about the debt of ₹50 lakhs. With reference to the provisions of the Indian Partnership Act, 1932, give your opinion: (i) Whether D would be liable for the debts of the firm incurred prior to his admission by virtue of the agreement between A, B, C and the creditors? (ii) Whether your answer will be different if D was minor at the time of admission? (iii) Whether D would be liable to pay the debt upon becoming major? (PYP May'25, 7 Marks Marks: 7 Marks)
23. On admission as a new partner, Ashwin agreed to be liable for the existing debts (referred to as the old debts) of the firm by an agreement signed by all partners including Ashwin. Examine, whether Ashwin will be liable in a suit filed by the creditor against the firm and all existing partners for recovery of the old debt of the firm. (MTP 3 Marks Dec'24, MP[7], MP[10] Marks: 3 Marks)

Topic: Retirement of a Partner & Rights of Outgoing Partner to Compete

24. P, Q and R are partners in a partnership firm. R retires from the firm without giving public notice. P approached S, an electronic appliances trader, for purchase of 25 fans for his firm. P introduced E, an employee of the firm, as his partner to S. S, believing E and R as partners, supplied 25 fans to the firm on credit. S did not receive the payment for the fans even after the expiry of the credit period. Advise S, from whom he can recover the payment, as per the provisions of the Indian Partnership Act, 1932. (MTP 6 Marks Dec'23; PYP 6 Marks Jun'23 Marks: 6 Marks)
25. M/s SR Enterprises is a well-known trading firm. Mr. AM, a former partner of the firm, had retired in 2022 but never made any public announcement about his retirement. In 2024, Mr. R, a supplier, entered into a business transaction with M/s SR Enterprises believing that Mr. AM was still a partner in the firm. He relied on Mr. AM's past association with the firm and extended a credit line to the firm. When M/s SR Enterprises defaulted on payment, Mr. R demanded that Mr. AM also be held liable for the dues. Mr. AM refused, stating that he was no longer a partner in the firm and

had no involvement in the firm's affairs for a long time. Examine, with reference to the provisions of the Indian Partnership Act, 1932, whether Mr. AM can be held liable for the firm's above debt. (PYP 3 Marks Sep'25 Marks: 3 Marks)

26. In accordance with provisions of the Indian Partnership Act, 1932, explain the following: The rights of an outgoing partner to carry on competing business. (PYP 6 Marks May'25)
27. P, Q, R and S are the partners in M/s PQRS & Co., a partnership firm which deals in trading of Washing Machines of various brands. Due to the conflict of views between partners, P & Q decided to leave the partnership firm and started a competitive business on 31st July, 2023, in the name of M/s PQ & Co. Meanwhile, R & S have continued using the property in the name of M/s PQRS & Co., in which P & Q also have a share. Based on the above facts, explain in detail the rights of outgoing partners as per the Indian Partnership Act, 1932 and comment on the following: (i) Rights of P & Q to start a competitive business. (ii) Rights of P & Q regarding their share in property of M/s PQRS & Co. (MTP 7 Marks May'24, MP[3] Marks: 7 Marks)

Topic: Expulsion of a Partner (Section 33; Section 32(3) on consequences)

28. M/s LMP & Associates, a partnership firm engaged in carpet manufacturing and exporting, was initially managed by senior partners L, M, and P. On 25th August 2022, the firm admitted Mr. G, an expert in carpet manufacturing, as a partner. However, on 10th January 2024, Mr. G was accused of unauthorized activities and subsequently expelled from the partnership with the unanimous approval of the remaining partners. With reference to the provisions of the Indian Partnership Act, 1932, answer each of the following: (1) Examine whether action by the partners was justified or not? (2) What are the factors which should be kept in mind prior to expelling a partner from the firm by other partners? (MTP 6 Marks Mar'21, Nov'21, Dec'24, MP[2],[7], [10]; PYP 6 Marks Nov'22, 4 Marks Sep'25; RTP Sep'25, May'26 Marks: 6 Marks)

Note: An identical fact pattern and question (with 'M/s ABC & Associates' expelling 'Mr. P', a curtain-manufacturing expert) was tested in MTP 6 Marks Apr'23, Jul'24, MP[5], SM. Use the same answer, substituting the party names.

29. "The partner who is expelled will cease to be liable to the third party for the act of a partner done after expulsion." Analyse. (MTP 2 Marks Dec'24, MP[7], MP[10] Marks: 2 Marks)

Topic: Insolvency & Death of a Partner (Sections 34, 35)

30. With reference to the provisions of Indian Partnership Act, 1932, explain the various effects of insolvency of a partner. (RTP Nov'23, Jan'25, Sep'26; MTP 4 Marks Jun'24, MP[4] Marks: 4 Marks)
31. A, B and C are partners in M/s ABC & Company. The firm has decided to purchase a machine from M/s LMN & Company. Before A & B purchase the machine, C died. The machine was purchased but thereafter A and B became insolvent, and the firm was

unable to pay for the machine. Explain, would the estate of C be liable for the dues of M/s LMN & Company? (RTP Nov'22)

32. Sohan, Rohan and Jay were partners in a firm. The firm is a dealer in office furniture. They have regular dealings with M/s AB and Co. for the supply of furniture for their business. On 30th June 2020, one of the partners, Mr. Jay, died in a road accident. The firm has ordered M/s AB and Co. to supply the furniture for their business on 25th May 2020, when Jay was alive. Now Sohan and Rohan continue the business in the firm's name after Jay's death. The firm did not give any notice about Jay's death to the public or the persons dealing with the firm. M/s AB and Co. delivered the furniture to the firm on 25th July 2020. The fact about Jay's death was known to them at the time of delivery of goods. Afterwards the firm became insolvent and failed to pay the price of furniture to M/s AB and Co. Now M/s AB and Co. has filed a case against the firm for recovery of the price of furniture. With reference to the provisions of Indian Partnership Act, 1932, explain whether Jay's private estate is also liable for the price of furniture purchased by the firm. (MTP 6 Marks Jun'22, Oct'21; RTP May'22 & Sep'24 Marks: 6 Marks)

Topic: Outgoing Partner's Right to Share Subsequent Profits (Section 37)

33. A, B and C are partners in a firm. As per terms of the partnership deed, A is entitled to 20 percent of the partnership property and profits. A retires from the firm and dies after 15 days. B and C continue business of the firm without settling accounts. Explain the rights of A's legal representatives against the firm under the Indian Partnership Act, 1932. (SM)
34. Suman, having 10% share in the property of ₹200 lakh of a firm, retires from the firm on 31st March, 2023. The firm continues with the business thereafter without final settlement of accounts between the existing and retired partners and earned profits of ₹10 lakh during the financial year ending 31st March, 2024. Suman, in her own interest and in the absence of any provision in the partnership firm on this point, claimed ₹3 lakh from the firm towards the use of her share in the property and profit of the firm, which was rejected by the partners. There is no contract between the partners contrary to the provisions of the Act in this regard. Examine the validity of the amount claimed by Suman under the provisions of the Indian Partnership Act, 1932. (MP[10], 2 Marks Marks: 2 Marks) Note: Tests the identical Section 37 principle as Question 33 above, with numerical computation added.

Topic: Revocation of Continuing Guarantee by Change in Firm (Section 38)

35. When can the continuing guarantee be revoked under the Indian Partnership Act, 1932? (RTP Nov'23, Jan'25; MTP 3 Marks Apr'24, Jun'24, MP[1], MP[4] Marks: 3 Marks)

Topic: Transfer of a Partner's Interest (Section 29) - Rights During Continuance vs. On Dissolution

36. Mr. Chand, once an active partner in CHJ and Associates (a partnership firm), took a back seat due to his ailing health. He observed that the firm's accounts were not being maintained properly and feared embezzlement by the other two partners. Keeping this in mind, he assigned his interest in the firm to Mr. Niman, his nephew, a qualified finance professional with expertise in this field. A few days after his nomination, Mr. Niman raised an objection as to the transparency of the accounts and demanded an inspection of the books, which was refused by the other partners. A year later, CHJ and Associates decided to dissolve the partnership firm as the business was no longer profitable. Mr. Niman asked for the accounts of the past 3 years to ascertain the share of profits offered by the firm to him, for which he was refused yet again. Analysing the relevant provisions of the Indian Partnership Act, 1932, decide whether the firm was correct in refusing the inspection of accounts by Mr. Niman during its (the firm's) continuance. Also decide whether Niman is legally eligible to ask for the accounts of the firm for the past 3 years on dissolution. (PYP 4 Marks May'26 Marks: 4 Marks)

Note: Tests the same Section 29 transferee-rights framework as Questions 16-18 above, with a new nuance not previously tested: Section 29's dissolution-stage right to 'an account as from the date of dissolution' is NOT retrospective and does not extend to pre-dissolution years' accounts.

Topic: Partner as Agent & Implied Authority (Sections 18-22) - Restricted Acts Applied

37. Mr. Pramod, a senior partner in PKL and Associates (a dairy product manufacturing firm having two partners), has been approached by Mr. Sanjay, a raw material supplier to the firm, to withdraw a long-pending suit and settle through mediation and out-of-court settlement. The long-pending matter relates to a dispute regarding supply of poor-quality raw materials by Mr. Sanjay to the firm, which has brought disrepute to PKL and Associates and resulted in lowering of demand for the firm's product in the market. Mr. Sanjay, as part of the out-of-court settlement, has offered the firm one of his properties at a price much below the market price. Mr. Pramod is considering accepting the offer, as it would not only settle the long-pending dispute but also result in acquisition of a property at a price much below market value. Mr. Pramod has communicated the above offer to the other partner, Mr. Kumar, whose view is not available at this moment as he is out of state for some personal work. Analysing the applicable provisions of the Indian Partnership Act, 1932, decide whether, at this juncture, Mr. Pramod as an active partner is authorised to withdraw the suit and acquire the property as offered by Mr. Sanjay, when one of the partners has not offered his view. (PYP 3 Marks May'26 Marks: 3 Marks)

Note: Applies the same Section 19(2) restricted-acts list already set out generically in Question 11 above, to a specific two-partner case-study fact pattern (withdrawal of a suit + acquisition of property as out-of-court settlement, with one partner's consent unavailable).

Topic: Partnership by Holding Out (Section 28)

38. Ram and Sarthak are partners in a partnership firm styled as RS & Co. (the firm). Gopal, a renowned businessman, is their common friend. Ram introduced Gopal to Sundar, a supplier to the firm, as his newly joined partner. Gopal, knowing that he is not a partner, preferred to keep quiet on such an introduction. This information about Gopal being a partner of the firm was shared by Sundar with another businessman, Madhav. Next day, Sundar supplied raw material on credit and Madhav lent ₹5 lakhs to the firm for a short period on the understanding that Gopal is a partner of the firm. On due dates, the firm failed to discharge its liability towards both. Advise Gopal, whether he is liable to Sundar and Madhav for the aforesaid liability of the firm. (RTP Sep'26)

Note: Tests the same Section 28 'holding out' principle as Questions 24-25 above, but on a fact pattern where the person held out was never an actual or even a retired partner. Adds a nuance not seen in Questions 24-25: liability under holding out does not extend to a third party whose reliance derives only from information relayed onward by another person, rather than from the representor's own words/conduct reaching that third party.

Chapter 4.3: Registration & Dissolution of Firm

Topic: Registration of Firms (Sections 58 & 59)

1. Explain about the registration procedure of a partnership firm as prescribed under the Indian Partnership Act, 1932. (PYP 6 Marks Jun'23; RTP May'25; SM Marks: 6 Marks)

Topic: Consequences of Non-Registration (Section 69)

2. "Indian Partnership Act, 1932 does not make the registration of firms compulsory nor does it impose any penalty for non-registration." In light of the given statement, discuss the consequences of non-registration of the partnership firms in India? (MTP 7 Marks Apr'25, Dec'24; SM Marks: 7 Marks)

Note: Similar/overlapping question also tested as: PYP 6 Marks Jun'24 / MP[7],[9] (see Question 3 below) and MTP 6 Marks Nov'22 (see Question 4 below) - both test the same Section 69 disabilities/exceptions framework with different fact patterns.

Topic: Consequences of Non-Registration (Section 69)

3. The Indian Partnership Act does not make the registration of firms compulsory, yet the consequences or disabilities of non-registration have a persuasive pressure for their registration. Still, there are some cases where non-registration of firm does not affect certain rights. Explain with reference to the provisions of the Indian Partnership Act, 1932. (PYP 6 Marks Jun'24; MP[7], [9] Marks: 6 Marks)

Note: Tests the same Section 69 exceptions as Question 2 above; this version emphasises the exceptions specifically rather than the disabilities.

4. P & Co. is registered as a partnership firm in 2024 with A, B and P as partners dealing in sale and purchase of motor vehicles. In April 2025, A dies. Now only B and P continue the firm and same business with same firm name P & Co. In the month of December 2025, firm felt the need of expansion of business and sharing the burden of expenditure and investment. They thought of hiring a new partner with a mutual consent with each other. Hence in December 2025, the firm took a new partner S in the firm P & Co. The firm has supplied large amount of material to one of its clients Mr. X for business purposes. In spite of regular reminders, X failed to pay the debts due to the firm. In January 2026, firm filed a case against X in the name and behalf of P & Co. without fresh registration. With reference to Indian Partnership Act, 1932, discuss if the suit filed by the firm is maintainable? (MTP 6 Marks Nov'22 Marks: 6 Marks)
5. A, B and C are partners in an unregistered partnership firm named M/s ABC & Associates. Is the suit maintainable in the following cases as per the provisions of the Indian Partnership Act, 1932? Give justification also. (i) A filed a suit against B who had stolen the goods of the firm. (ii) A filed a suit against M/s ABC & Associates for claiming shares of the assets on its dissolution. (iii) M filed a suit against the firm M/s ABC & Associates for the recovery of Rs.10,000/- dues from the firm. M also owed Rs.4,000/- to the firm. The firm claimed a set off of Rs.4,000/-. (PYP 6 Marks Sep'25; RTP May'26, Sep'26 Marks: 6 Marks) **Note:** This identical fact pattern (M/s ABC & Associates, the same theft/dissolution/set-off sub-parts, with figures unchanged) was repeated in RTP May'26 and again in RTP Sep'26 (where it appeared as Question 18 of that paper). Use the identical answer for all instances.

Topic: Modes of Dissolution (Sections 39-44)

6. When does dissolution of a partnership firm take place under the provisions of the Indian Partnership Act, 1932? Explain. (MTP 4 Marks Jun'22, Apr'21, Oct'21, Apr'23, Aug'24; MP[6]; SM; RTP Sep'24 Marks: 4 Marks)
7. "Dissolution of partnership doesn't mean dissolution of firm". Do you agree with this statement? State any three situations where court can dissolve the partnership firm. (PYP 7 Marks Jun'24; MTP 7 Marks Jan'25; MP[9] Marks: 7 Marks)
8. P, Q and R formed a partnership agreement to operate motor buses along specific routes for a duration of 12 years. After operating the business for four years, it was observed that the business incurred losses each year. Despite this, P is determined to continue the business for the remaining period. Examine with reference to the Indian Partnership Act, 1932, can P insist to continue the business? If so, what options are available to Q and R who are reluctant to continue operating the business? (RTP Jan'25, Sep'25, MP[8], MP[9]; PYP 4 Marks Jun'24; MTP 4 Marks Jan'25 Marks: 4 Marks)

9. G, I and S were friends and they decided to form a partnership firm and trade in a particular type of chemicals. After three years of partnership, a law was passed which banned the trading of such chemicals. As per the provisions of the Indian Partnership Act, 1932 can G, I and S continue the partnership or will their partnership firm get dissolved? (RTP Nov'22)
10. "Dissolution of a partnership firm may occur by mutual agreement with the consent of the majority of partners, while compulsory dissolution requires an order from the court." Discuss this statement with reference to the relevant provisions of the Indian Partnership Act, 1932. (PYP 3 Marks Jan'25 Marks: 3 Marks)
11. M, N, and O were partners in a firm engaged in the transport business. Over time, N became mentally unsound and was incapable of managing the firm's affairs. O alleged that M was continuously guilty of misconduct and was misappropriating the firm's funds. Due to repeated disputes and loss of trust, O filed a petition in Court seeking dissolution of the firm. After the court ordered dissolution, M claimed that he still had the right to use the firm's trucks and vehicles for his personal business. Explain whether contention of M is correct. (RTP Jan'26)
12. Explain the grounds on which court may dissolve a partnership firm in case any partner files a suit for the same. (PYP 4 Marks May'22; MTP 7 Marks May'24, Aug'25[1]; MP[3], [8], [10] Marks: 7 Marks)

Topic: Consequences of Dissolution (Sections 45-49)

13. X and Y were partners in a firm. The firm was dissolved on 12th June, 2022 but no public notice was given. Thereafter, X purchased some goods in the firm's name from Z. Z was ignorant of the fact of dissolution of firm. X became insolvent and Z filed a suit against Y for recovery of his amount. State with reasons whether Y would be liable under the provisions of the Indian Partnership Act, 1932? (RTP May'23)
14. On the dissolution of a firm, what are the rights and obligations of partners under the Indian Partnership Act, 1932 with respect to: (i) The right to have the business wound up and surplus distributed, (ii) The continuing authority of partners for the purpose of winding up and completing unfinished transactions, and (iii) The application of firm debts and separate debts of partners. (MTP 7 Marks Aug'25[2] Marks: 7 Marks)
15. Subject to agreement by partners, state the rules that should be observed by the partners in settling the accounts of the firm after dissolution under the provisions of the Indian Partnership Act, 1932. (MTP 4 Marks May'25, May'23, Nov'22, Mar'22, Jul'24; PYP 4 Marks Jul'21, Dec'23, MP[5] Marks: 4 Marks)
16. Discuss the provisions of the Indian Partnership Act, 1932 regarding the payment of firm debts and separate debts of partners. How are the firm's property and the partners' separate property applied in settling such debts? (MTP 2 Marks Mar'25)
17. ABC & Co., a partnership firm, is going to be dissolved. The partners seek your advice on the following points, referring to the relevant provisions of the Indian Partnership Act, 1932 in this regard: (i) Right of partners to have business wound up after dissolution. (ii) Continuing authority of partners for purposes of winding up. (iii) Mode of settlement of partnership accounts. (PYP 6 Marks May'26)